

ECON 880: Problem Set 2

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I. Complete markets

II. Incomplete markets (Huggett 1993)

4(a) Policy functions

4(b) Equilibrium bond price and wealth distribution

4(c) Lorenz curve and Gini

III. Welfare: incomplete vs. complete markets

$$\lambda(a, s) = \left[\frac{W^{FB} + \frac{1}{(1-\alpha)(1-\beta)}}{v(a, s) + \frac{1}{(1-\alpha)(1-\beta)}} \right]^{\frac{1}{1-\alpha}} - 1$$

(a) Consumption equivalents $\lambda(a, s)$

(b) W^{FB} , W^{INC} , and WG

Value
W^{FB}
W^{INC}
WG

(c) Share favoring complete markets